TOPIC 1 · THE GLOBAL ECONOMY

Source: ABC News (Laura Tingle, Antalya)
Wednesday 11 November 2026

COP31 admits 1.5°C will be missed and bets on electrification

> The COP31 climate summit, co-hosted by **Türkiye and Australia**, has accepted for the first time that warming will exceed 1.5°C. Its main proposal is a voluntary push for electricity to supply **35%** of the world's energy by 2035.

WHAT HAPPENED

- **Voluntary target:** electricity to make up 35% of world energy use by 2035. It is about **23%** now and on track for about 30% under existing policies (IEA).
- **Fossil fuel cuts are not formally on the agenda**, even though they are seen as the central issue.
- The focus is on putting existing commitments into practice, **adaptation finance** for poorer countries and **methane cuts** in oil, gas and waste.
- Chris Bowen says projected warming has fallen from nearly 4°C before Paris to about **2.6°C**.
- Australia faces criticism over **coal expansion** and extending the **North West Shelf** gas project.

Negative externality: a cost borne by third parties, not the buyer or seller
Global public good: a benefit (a stable climate) no country can be excluded from
Free rider: a country that benefits from others' action without acting itself

KEY NUMBERS

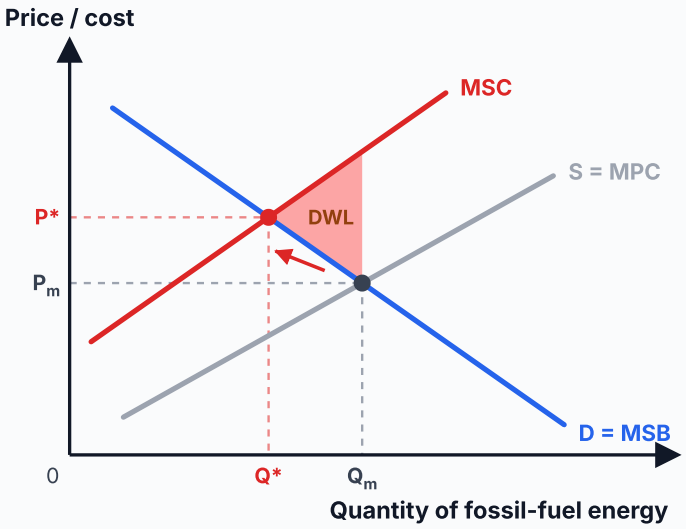
35%
Target electricity share of world energy by 2035

23%
Electricity share of world energy now

~2.6°C
Projected warming, down from ~4°C before Paris

55%
Türkiye's electricity from coal and gas

DIAGRAM — Why markets overproduce fossil-fuel energy



Producers base output on their own private costs (**S = MPC**). Burning fossil fuels also imposes **climate costs on third parties**, so the marginal social cost (**MSC**) sits above MPC.

The free market produces Q_m at P_m. The socially efficient level is **Q*** at **P***. The red triangle is the **deadweight loss** from overproduction.

Carbon pricing, regulation or a switch to clean electricity aims to move output towards Q*.

Exam angle: climate change is a **global** negative externality. Voluntary pledges are hard to enforce because each country gains from others' cuts while bearing its own costs (the free-rider problem).

BAR CHART — Electricity's share of world energy use



Source: IEA figures cited by ABC News. Bars scaled to 40%.

SYLLABUS LINK

Topic 1 – global environmental issues and international cooperation.
Topic 4 – environmental management policy: externalities and market failure.

TRY THIS

Explain why voluntary international climate pledges may fail to correct a global negative externality.
(4 MARKS)

ABC News – COP31 summit targets major electrification push as 1.5C goal slips away: https://www.abc.net.au/news/2026-11-10/cop31-tingle-global-temperature-1-5c/107366402

Diagrams are illustrative, not to scale